EXECUTIVE SUMMARY

A. Introduction

1. Agency Profile

Tuao is a 1st class municipality situated in the western part of Cagayan Valley called the Itawes Region, is composed of 32 barangays. The Municipality which is under the third Congressional District of Cagayan has a population of 57,154 people according to the 2007 National Statistics Office census. The recorded history of Tuao began in 1604 when founded by the Spanish Civil Government.

For CY 2014, the Municipality of Tuao had a total of 289 personnel complement, consisting of 51 permanent, 11 elective, 1 co-terminus, 13 casual and 213 job order status.

2. Scope of Audit

The audit covered the accounts and operations of the Municipality of Tuao, Cagayan for CY2014 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2014 with comparative figures for CY 2013 are as follows:

	2014	2013	Increase (Decrease)
Financial Position			
Total Assets	₱ 259,775,378.07	₱ 234,465,746.00	₱ 25,309,632.07
Total Liabilities	40,436,812.30	27,339,654.15	13,097,158.15
Total Government Equity	219,338,565.77	207,126,091.85	12,212,473.92
Financial Performance			
Total Income	118,321.925.45	101,019,566.04	17,302,359.41
Total Expenses (Includes Total Operating Expenses, and Donations)	106,834,233.26	100,135,834.58	6,698,398.68
Appropriations, Allotments and Obligations			
Total Appropriations	123,930,871.62	103,105,883.96	20,824,987.66
Total Obligations	102,338,607.82	91,142,131.99	11,196,475.83

The Municipality received fund transfers from other agencies totaling P19,449,133.70 and transferred funds to other agencies totaling P60,000.00 during CY 2014 with comparative figures for CY 2013, to wit:

	2014	2013	Increase (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	₱ 15,051,768.7	₱ 19,784,300.00	₱ (4,732,531.30)
Local Government Units	-	-	-
Non-Government Organizations/Peoples Organizations (NGOs/POs)	-	-	-
Others	4,397,365.00	1,194,875.00	3,202,490.00
Total	**₱ 19,449,133.70**	**₱ 20,979,175.00**	**₱ (1,530,041.30)**
Funds Transferred to:			
NGAs	₱ -	₱ -	₱ -
Local Government Units	-	-	-
NGOs/POs	60,000.00	-	60,000.00
Others	-	-	-
Total	**₱ 60,000.00**	**₱ -**	**₱ 60,000.00**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality of Tuao for the year ended December 31, 2014 due to the effects of the following:

1. Inadequate accounting and property records to support the balance of the recorded Property, Plant and Equipment (PPE) account totaling P192,446,264.78. Had adequate accounting and property records been prepared and maintained, the reliability of the recorded PPE as presented in the financial statements could have been corroborated and established.

2. Unrecognized depreciation expense of P12,611,445.51 on depreciable properties during the year and the related depreciation expenses in prior years. Had adjustments been made to record the depreciation expense for the year and prior years, the reported PPE and net income would have been reduced at year-end.

3. Unrecorded bank deposit of ₱2,257,102.17 with the Land Bank of the Philippines Inc. Had bank reconciliation statement been prepared, discrepancies could have been noted and adjustments effected thus, the balance of Cash in Bank Local

Currency Current Account and Government Equity could have increased by the same amount.

D. Summary of Significant Observations and Recommendations

1. The acquisition of various goods and services totaling P6,952,664.93 did not pass through competitive bidding due to failure of the Bids and Awards Committee to fulfill the requirements of Republic Act No. 9184 also known as the Government Procurement Reform Act.

   Management should properly plan its procurement activities and conduct competitive bidding in order to avoid violations of the Procurement Law.

2. Unreliable adjustments made to "Prior Year's Adjustment" (PYA) account affecting the Cash in Bank balance totaling P724,781.73 due to failure of Municipal Accountant to submit the details for verification.

   Submit to the Office of the Auditor the details of the Prior Years' Adjustment (PYA) account showing the charges made, their nature and bases for adjustment.

3. Unauthorized deposits totaling P62,269,932.20 is maintained with a privately-owned commercial bank even without the prior approval of the Department of Finance.

   Secure DOF approval to maintain its accounts with the Philippines National Bank, Tuao Branch, Tuao, Cagayan. Require PNB to provide copy of the authority granted by the Bangko Sentral ng Pilipinas to accept government deposits.

4. Appropriate penalties and legal sanctions were not imposed to the contractors of on-going projects with an aggregate contract amount of P9,291,634.47 which exceeded their contract period.

   Management shall closely monitor the completion of projects and impose appropriate administrative sanctions against erring contractors who incur unwarranted slippages and those who fail to comply with the terms and stipulations of the contract.

5. Projects funded out of the 20% Development Fund for the current year and prior years totaling P19,095,676.36 remained unimplemented as of December 31, 2014 due to lack of effective strategies to address problems in the implementation.

   Direct the offices concerned to vigorously pursue the completion of the projects to be implemented the soonest time possible in order to achieve the objectives of the said projects in providing socio-economic benefits to the intended beneficiaries

6. Trust Liabilities such as Due to BIR, Due to GSIS, Due to PAG-IBIG and Due to Philhealth totaling P2,133,733.70, P908,301.92, P653,348.33 and P115,459.78, respectively, were not remitted in full due to failure of Management to reconcile the balance of subsidiary ledgers versus the actual remittances made.

   The Municipal Accountant should endeavor to look into the taxes and employer's and employees' contributions withheld in prior years which were not remitted in full by the Municipality and immediately remit all trust liabilities to the concerned national agencies.

E. Status of Implementation of Prior Year's Audit Recommendations

Out of the seven audit recommendations embodied in the 2013 Annual Audit Report, none was implemented, two were partially implemented and five were not implemented.